

EdgeScan

How the Scoring Engine Works

EdgeScan scores every stock from **0 to 100**. The higher the score, the stronger the opportunity. The score has two parts: **Fundamentals** (up to 60 points) and **Technicals** (up to 40 points).

Score	Signal	Meaning
80 – 100	Strong	Good fundamentals and good timing
60 – 79	Moderate	Solid business but timing or valuation not ideal
Below 60	Weak	Poor business metrics or unfavourable technical picture

Part 1 — Fundamentals (max 60 pts)

Answers the question: *"Is this a good business?"*

Factor	Max	What it measures
Revenue Growth	10 pts	YoY revenue growth. >20% = full marks. Scales to 0 if flat or declining.
EPS Growth	10 pts	Earnings per share growth. Same tiers as revenue.
Free Cash Flow Yield	8 pts	Real cash generated vs market cap. >6% FCF yield = full marks.
Return on Equity	8 pts	How efficiently the company uses shareholder money. >25% = full marks.
Gross Margin	6 pts	>50% margin = high-quality business (software, pharma). <30% = 0.
Debt / Equity Ratio	6 pts	Low debt = more points. D/E below 0.3 = full marks.
Analyst Recommendation	6 pts	Buy or Strong Buy = 6 pts. Hold = 3 pts. Sell = 0.
Fwd P/E vs Sector Avg	6 pts	Trading cheaper than its sector average = 6 pts. Premium valuation = 0.

A perfect fundamental score means: fast-growing revenue and earnings, strong cash generation, high margins, low debt, and cheaper than sector peers.

Part 2 — Technicals (max 40 pts)

Answers the question: *"Is now a good time to buy it?"*

Factor	Max	What it measures
RSI (momentum)	8 pts	Sweet spot 40–60. Overbought (>70) or oversold (<30) = 0. Avoids chasing.
MACD	8 pts	A bullish crossover (momentum turning up) = full marks.
Price vs 200-day MA	8 pts	0–10% above long-term average = ideal. Below it or very extended = 0.
Relative Strength vs S&P 500	8 pts	Outperforming the market by >10% over 3 months = full marks.
Volume Trend	6 pts	Rising volume on up days signals conviction behind the move.

Factor	Max	What it measures
Distance from 52-week High	6 pts	15–35% below = room to run. Near the high = stretched. >35% = may be broke

Penalties

Situation	Penalty
Earnings within 7 days	–8 pts
Earnings within 14 days	–4 pts
Defensive sector (Utilities / REITs / Staples) with weak trend (ADX < 20)	–8 pts

Price Target

Every stock gets a **1-month price target** — a blended estimate from three sources, capped at $\pm 12\%$ from the current price:

Component	Weight	Method
Analyst 12-month consensus	40%	Scaled to 1 month (1/12 of the gap to target)
Sector P/E re-rating	30%	Where stock should trade at sector-average P/E — 1/6 of gap
FCF yield fair value	30%	Implied price at a 4% FCF yield — 1/6 of gap

The $\pm 12\%$ cap keeps targets grounded — the model doesn't make speculative predictions for a single month.